

Generative AI's Act Two: From Technology Ham

For venture capital investors and startup founders

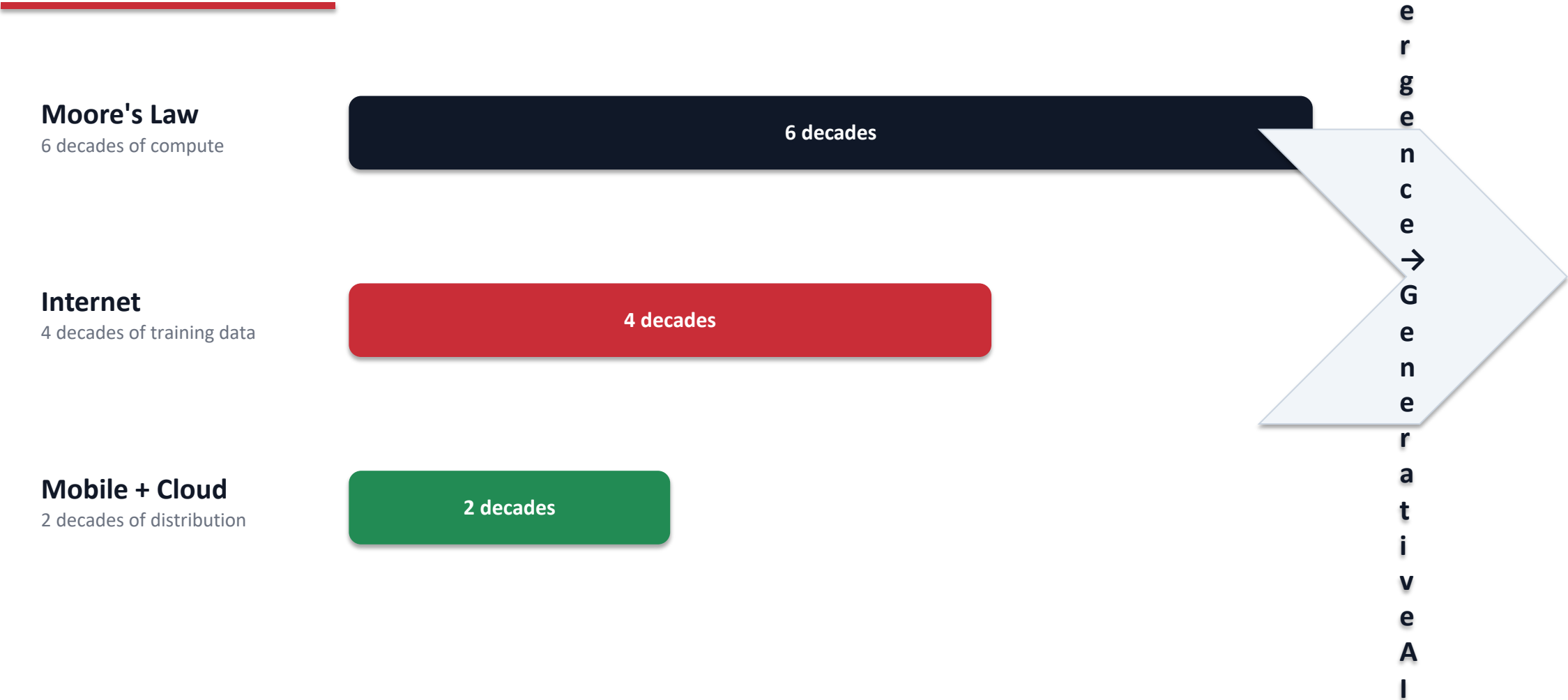
Attributed analysis: Sequoia Capital

Publication date: September 2023

Act 2

Customer-back
value creation

Six Decades of Technological Progress Converged to Enable Generative AI



Source: Sequoia Capital analysis (September 2023)

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

>\$1B startup revenue

in months, not years

ChatGPT: fastest-growing app in history

Midjourney: hundreds of millions in revenue with 11 employees

Character.ai: ~2-hour average session time

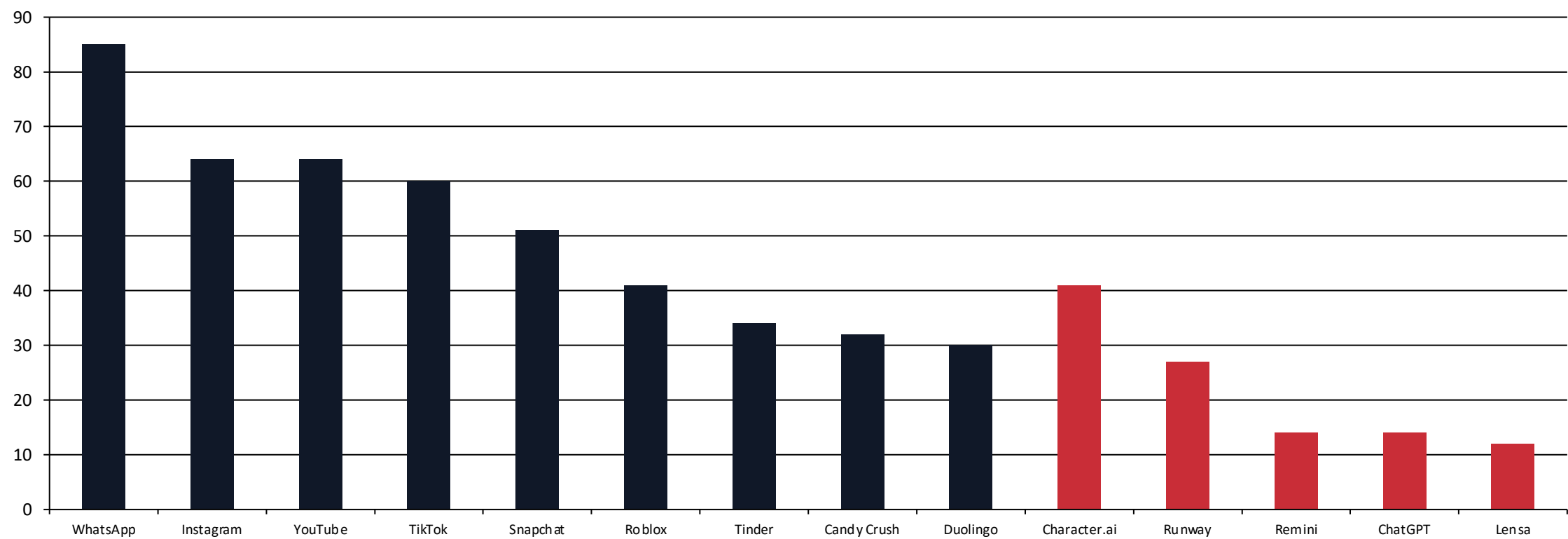
Commercial demand is real despite hype-cycle skepticism

Trajectory

- SaaS: years to scale
- GenAI: months to scale
- Speed validates urgency

AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

Retention %



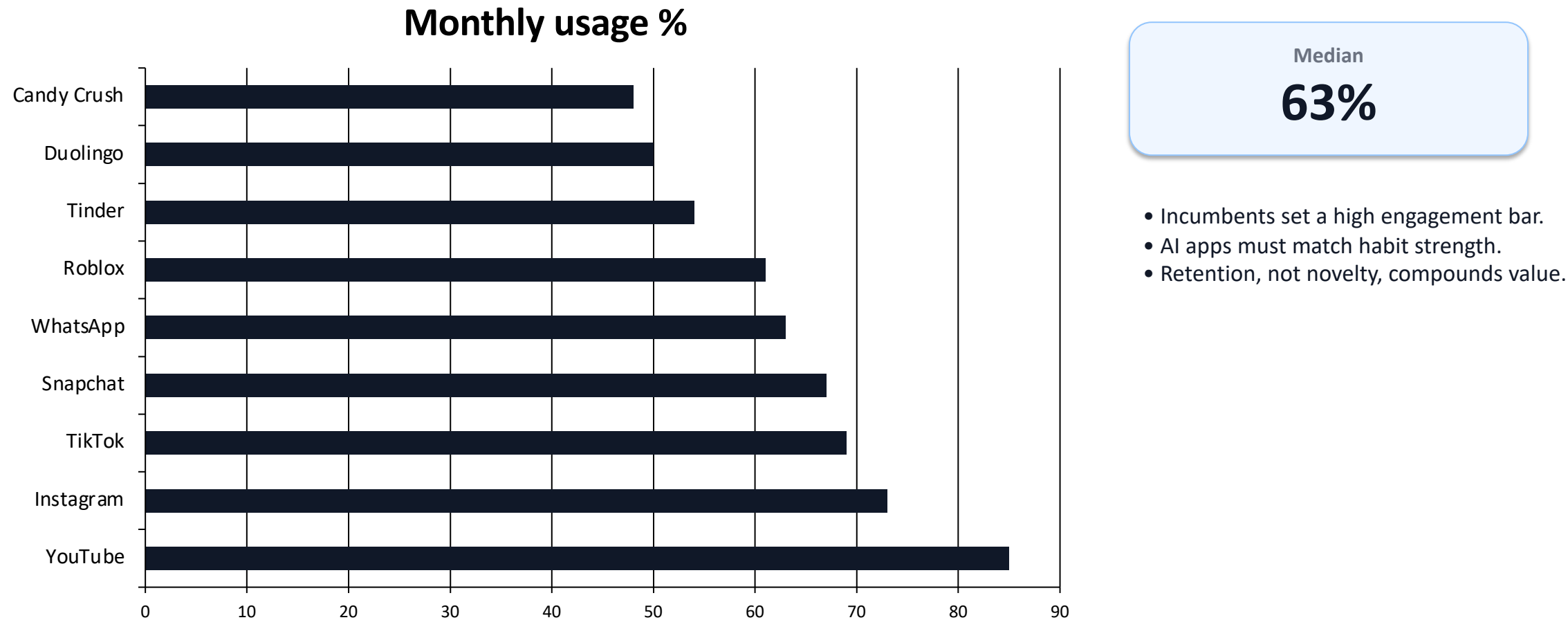
Incumbent median: 51%

AI-first median: 14%

Retention gap: 3.6x disadvantage

Source: Sequoia Capital analysis (September 2023)

YouTube Leads Incumbents at 85% Monthly Active Usage



Source: Sequoia Capital analysis (September 2023)

Act 1 Was Technology-Out; Act 2 Is Customer-Back

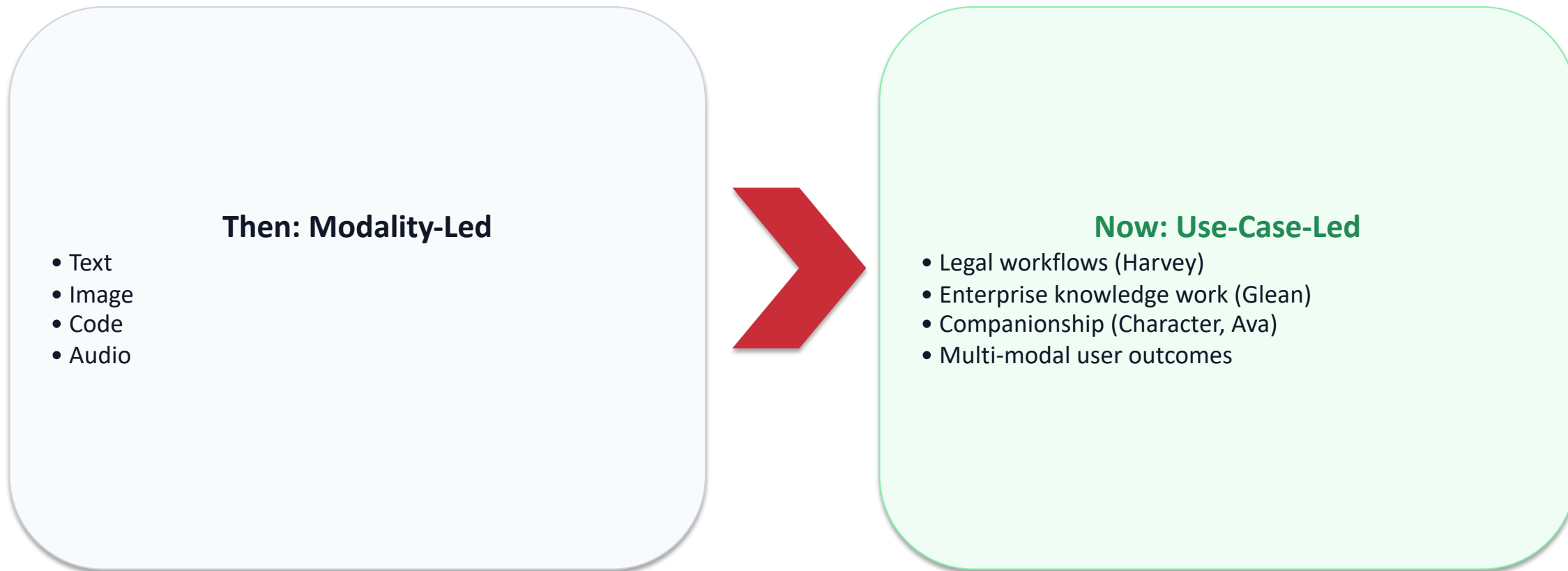
Act 1: Technology-Out

- Foundation model = entire solution
- Novelty demos and lightweight wrappers
- Single-modality interaction
- Poor retention and weak habit loops
- Technology hammer searching for nails

Act 2: Customer-Back

- Foundation models are one component
- New editing interfaces and workflows
- Multi-modal, end-to-end problem solving
- Designed for repeat usage and retention
- Exemplars: Harvey, Glean, Character, Ava

Market Map Reorganized by Use Case, Not Model Modality



Reorganization mirrors the broader shift from technology hammer to value delivery in Act 2.

Key Takeaways: What Separates Winners in Act Two

- 1 Retention is the critical challenge: AI-first apps at 14% median vs. 51% for incumbents.
- 2 Foundation models should be a component, not the whole product.
- 3 Multi-modal, workflow-integrated solutions are best positioned to win.
- 4 The >\$1B revenue milestone confirms real demand beyond hype cycles.
- 5 Companies solving end-to-end human problems will define Act 2.

Act 2 winners convert model capability into durable customer value.